

Global Rail Fuel Spend & Savings Opportunity — One-Page Summary

Date / Context

Internal working analysis. Built to explore order-of-magnitude global fuel savings opportunity across rail segments.

Purpose

Provide a top-down framing of how large the fuel cost reduction opportunity could be across global railroads using rough assumptions. This supports strategic thinking, not forecasting or valuation.

What This Is

- A rough market-sizing thought exercise
- A sanity check on fuel efficiency as an economic lever
- A directional input into strategy discussions

Key Assumptions

- Diesel price ~\$3.50–\$3.75/gal
- Single-digit savings (~4%)
- Partial applicability (~50%)
- Fuel volumes are approximate

What the Model Suggests

- Rail fuel spend is very large globally
- Small savings scale to large economic value
- Shortlines are a smaller but high-sensitivity segment

What Is True

- Fuel is a major controllable cost
- Small efficiency gains matter at scale

What Is Assumed

- Fuel volumes and pricing
- Applicability of savings
- Ease of adoption

Agent Usage

Allowed: Strategic framing questions

Not allowed: Exact market sizes, revenue projections, pricing claims

Safety Classification

Authority: Low

Confidence: Exploratory

External Use: No